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The Third Dimension
Investment Characteristics of Some Businesses

The first dimension of a conservative stock investment is the degree of excellence in the company's activities that are most important to present and future profitability. The second dimension is the quality of the people controlling these activities and the policies they create. The third dimension deals with something quite different: the degree to which there does or does not exist *within the nature of the business itself* certain inherent characteristics that make possible an above-average profitability for as long as can be foreseen into the future.

Before examining these characteristics it may be well to point out why above-average profitability is so important to the investor, not only as a source of further gain but as a protection for what he already has. The vital role of growth in this connection has already been discussed. Growth costs money in many ways. Part of what otherwise would be the profit stream has to be diverted to experimenting, inventing, testmarketing, new-product marketing, and all the other operating costs of expansion, including the complete loss of the inevitable percentage of such expansion attempts that are bound to fail. Even more costly may be the additions to factories or stores or equipment that must be made. Meanwhile, as the business grows, more inventory will inevitably be needed to fill the pipelines. Finally, except for the very few businesses that sell only for cash, there will be a corresponding drain on corporate resources to take care of the growing volume of receivables. To accom-plish all these things, profitability is vital.

In inflationary periods the matter of profitability becomes even more important. Usually when prices and, therefore, costs are rising on a broad front, a business can, in time, pass these costs along through higher prices of its own. However, this often cannot be done immediately. During the interim, obviously a much smaller bite is taken out of the profits of the broad-profit-margin company than occurs for its high-er-cost competition,